

Corporate Finance

Lecture 1: Capital Markets and the Pricing of Risk

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Key concepts

- ▶ Compute/estimate returns and risk
- ▶ Risk-return relationship of assets

Outline

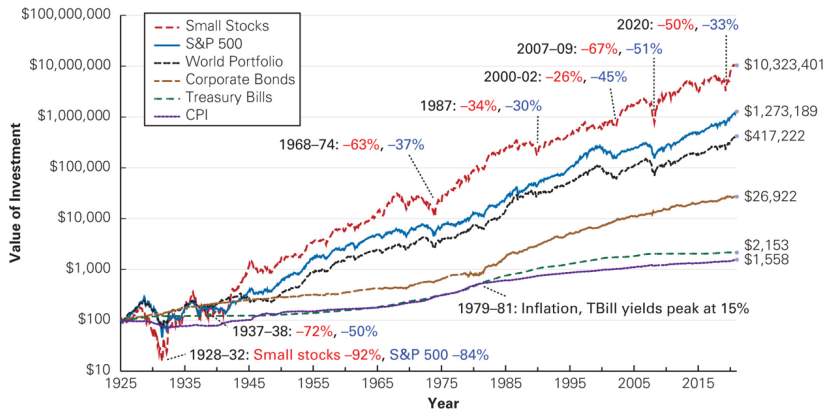
- A. Risk and return: a first glimpse (Chap. 10.1)
- B. Common return measures (Chap. 10.2)
- C. Historical returns of stocks and bonds (Chap. 10.3)
- D. Common measures of risk (Chap. 10.2)
- E. The historical risk-return trade-off (Chap. 10.4)
- F. Risk and returns of individual stocks (Chap. 10.4)

A. Risk and return: a first glimpse

- ▶ Standard & Poor's 500: 90 U.S. stocks up to 1957 and 500 after that. Leaders in their industries and among the largest firms traded on U.S. Markets.
- ▶ Small stocks: securities traded on the NYSE with market capitalizations in the bottom 20%.
- ▶ MSCI World Index (World portfolio)
- ▶ Corporate Bonds: long-term, AAA-rated U.S. corporate bonds with maturities of approximately 20 years.
- ▶ Treasury Bills: an investment in three-month Treasury bills.
- ▶ CPI (consumer price index)

⇒ We ignore transaction costs and assume that interest and dividends are reinvested.

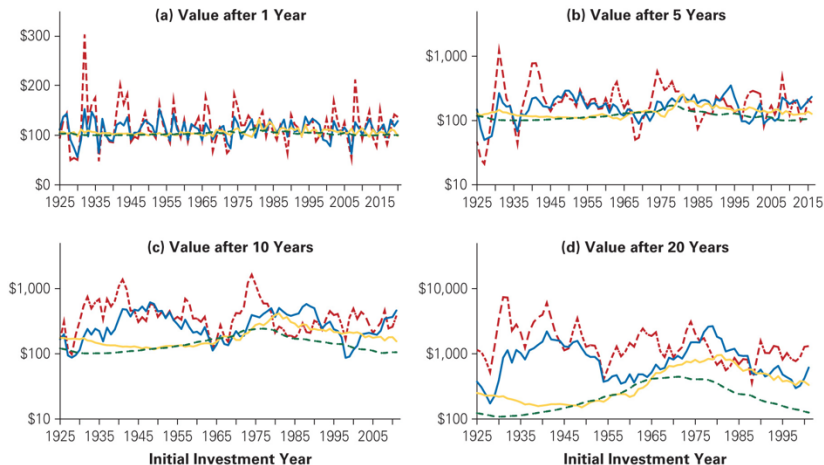
Value of \$100 invested at the end of 1925



Source: Chicago Center for Research in Security Prices, Standard and Poor's, MSCI, and Global Financial Data.

Value of \$100 invested in different years and for differing horizons

--- Small Stocks — S&P 500 — Corporate bonds - - Treasury Bills



Source: Chicago Center for Research in Security Prices, Standard

B. Common return measures

How to determine the return of a financial asset?

- ▶ Returns from dividends and capital gains
- ▶ Calculations with reinvested dividends
- ▶ Stock market indices
- ▶ Histograms of historical returns
- ▶ Historical volatility
- ▶ Arithmetic mean versus geometric mean

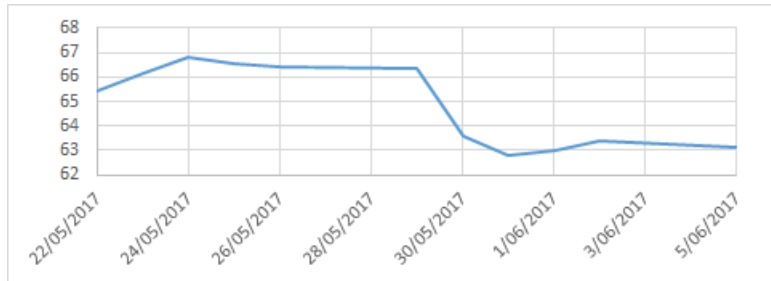
Dividend return and capital gains

- ▶ The realized return of a stock between two dates consists of:
 - ▶ capital gains and
 - ▶ dividends

$$\begin{aligned} R_{t+1} &= \frac{\text{Wealth at period end}}{\text{Initial investment}} - 1 \\ &= \frac{P_{t+1} + Div_{t+1} - P_t}{P_t} \\ &= \underbrace{\frac{P_{t+1} - P_t}{P_t}}_{\text{Capital Gain Rate}} + \underbrace{\frac{Div_{t+1}}{P_t}}_{\text{Dividend Yield}} \end{aligned}$$

Stock prices and dividend payment: the example of BNP Paribas

A dividend of EUR 2.7 is detached from the share price on May 30th, 2017



Source: Yahoo Finance

How to calculate the average return on an investment?

- What is the better investment (Investment at the end of year N until year N+2)?

Investment 1				
Value	100	50	100	Average
Re-		-	+100%	+25 %
turn		50%		

Investment 2				
Value	100	110	121	
Re-		+10%	+10%	+10%
turn				

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Value	100	110	121	
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turn				

- The arithmetic average is misleading ...

Geometric mean (annualized) or “compound annual growth rate” (CAGR)

- The geometric mean is calculated as

$$\text{Geometric mean} = \left(\frac{\text{Wealth at the end of } n \text{ years}}{\text{Initial investment}} \right)^{\frac{1}{n}} - 1$$

- or $\text{Geometric mean} = ((1 + R_1)(1 + R_2) \dots (1 + R_n))^{\frac{1}{n}} - 1$

To sum up: calculation of returns

- ▶ Depending on the situation, it is best to calculate mean returns differently. In general:
 - ▶ Intertemporal average or realized returns: geometric mean (=IRR of the investment, or “compound annual return”)
 - ▶ Mean return of multiple investments or expected return: arithmetic mean
- ▶ The two means are equal if annual returns are constant. Otherwise the arithmetic mean is always larger than the geometric mean.
- ▶ The geometric mean is approximately equal to the arithmetic mean - $\frac{1}{2}$ variance.

Compounding returns

- ▶ The returns over multiple periods need to be compounded to obtain the return over a longer horizon.
- ▶ Example: Over 4 consecutive periods an investment generates the returns: 6.1%, -5.32%, 6.72% and 8.93%. The overall return is:

$$\begin{aligned}R_{1 \rightarrow 4} &= (1 + R_1) (1 + R_2) (1 + R_3) (1 + R_4) - 1 \\&= (1 + 0.061) (1 - 0.0532) (1 + 0.0672) (1 + 0.0893) - 1 \\&= 16.7\%\end{aligned}$$

- ▶ Remarks:
 - ▶ You must not take the sum of the returns!
 - ▶ The length of the periods does not matter here.

Example: accounting for reinvested dividends to compute the returns on Total

What was the total return of the Total stock in 2016 (rounded to 4 decimal points)?

Date	Price (in EUR)	Dividend (in EUR)	Return
01/01/2016	40.89		
21/03/2016	41.33	0.61	2.57%
06/06/2016	42.47	0.61	4.23%
27/09/2016	40.77	0.61	-2.57%
21/12/2016	47.60	0.61	18.25%
31/12/2016	48.72		2.35%

Returns and “stock splits”

- ▶ Companies sometimes decide to do “stock splits”, or “reverse stock splits”, which need to be taken into account when returns are calculated.
- ▶ Example:
- ▶ You bought 100 stocks of CIGNA Corp. on August 5th, 2006 for a price of \$155.59. One year later, the stock is worth \$50.18, but the company has done a “3:1 stock split” so you now own 300 stocks. Over this period, you received a total amount of dividends of \$8.5 (on all your stocks). Your total return is

$$\frac{300 \times 50.18 + 8.5 - 100 \times 155.59}{100 \times 155.59} = -3.2\%.$$

Value of a stock and performance index

- ▶ The previous figures don't correspond to the evolution of a specific stock price.
 - ▶ They represent the evolution of an investment in the stock.
- ▶ They are a “performance index” and/or use “adjusted prices”.
- ▶ The adjusted stock price accounts for dividends and stock splits. They are calculated such that
 - ▶ The last value corresponds to the stock price.
 - ▶ The previous values mirror the evolution of an investment in the stock.

Example: the long-term return on a stock

- ▶ On January 2nd, 1970, the Coca Cola stock price was worth \$82.25. On June 30th, 2017, the stock price was worth \$44.85. Good or bad investment?
- ▶ Coca Cola has done 5 stock splits and made many dividend payments, the “adjusted close” on 2.1.1970 was 0.85.
- ▶ Hence, the return on the overall period 1970-2017 is $44.85/0.85 - 1 = 5176\%$.
- ▶ The geometric annual mean is $(44.85/0.85)^{1/47} - 1 = 8.80\%$.

Stock price indices

- ▶ The stock price indices aggregate the information about the evolution of a stock exchange by depicting the evolution of a portfolio of stocks.
- ▶ Example: CAC 40, DAX, S&P 500, FTSE100 (Footsie), Nasdaq 100, Dow Jones Industrial average, Hang Seng, Nikkei 225 etc.
- ▶ Some of these indices are very old!
 - ▶ Dow Jones has published its index since 1896 in New-York
- ▶ **Attention:** These indices can be calculated as “total return index” including dividends or “price index” without dividends! Some indices exist in different versions.

CAC40 and CAC40 GR (gross return)



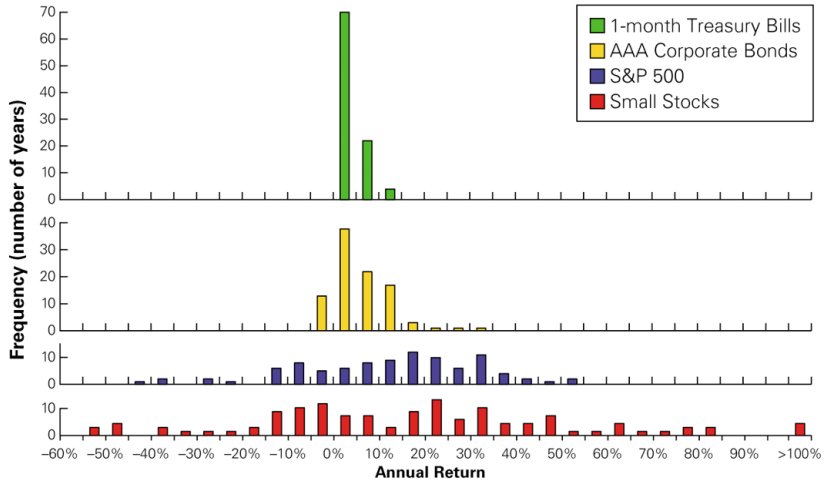
C. Historical returns of stocks and bonds

Annual mean return

$$\overline{R} = \frac{1}{T} \sum_{t=1}^T R_t = \frac{1}{T} (R_1 + \dots + R_T)$$

Investment	Average Annual Return
Small stocks	18.6%
S&P 500	12.2%
Corporate bonds	6.2%
Treasury bills	3.3%

Return histograms of different US portfolios (1926-2021)



D. Common measures of risk

- ▶ There is no perfect and generally accepted risk measure.
- ▶ In finance, risk is measured by volatility.
- ▶ Volatility = standard deviation of the returns

After the calculation of the variance

$$Var[R] = \frac{1}{T-1} \sum_{t=1}^T (R_t - \bar{R})^2,$$

we get the volatility

$$\sigma_R = \sqrt{Var[R]}.$$

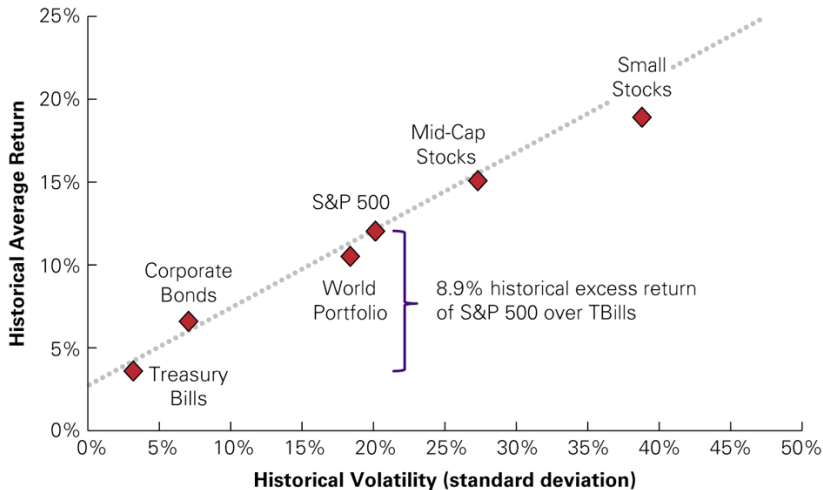
- ▶ Attention:
 - ▶ The volatility is a symmetric risk measure. It takes into account the risk to win as well as the risk to lose!
 - ▶ Other risk measures exist to quantify the risk of losses (downside risk) $\Rightarrow$ Example: VaR (“value at risk”)

E. The historical risk and return trade-off

Investment	Return Volatility (Standard Deviation)	Excess Return (Average Return in Excess of Treasury Bills)
Small stocks	38.6%	15.3%
S&P 500	19.7%	8.9%
Corporate bonds	6.3%	2.9%
Treasury bills (30-day)	3.1%	---

Excess return = return in excess of the risk-free rate
= risk premium

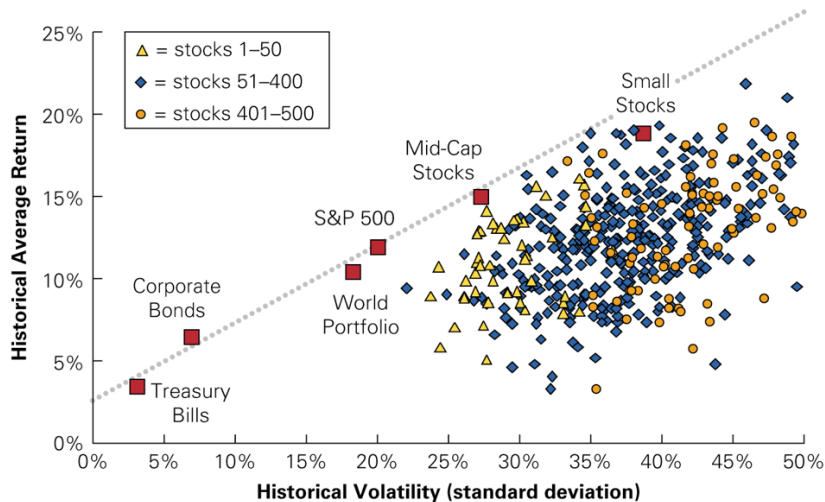
Return/risk of different US portfolios



Source: CRSP, Morgan Stanley Capital International

F. Risk and returns of individual stocks

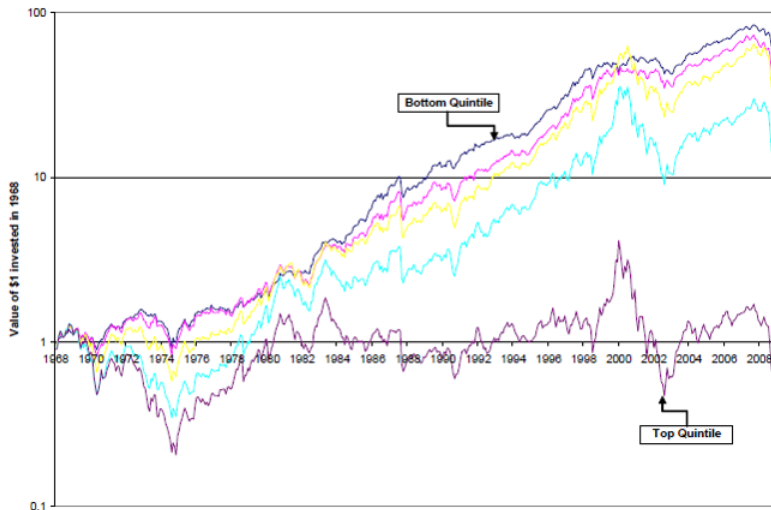
Volatility and realized returns on S&P 500 stocks



Source: CRSP, Morgan Stanley Capital International

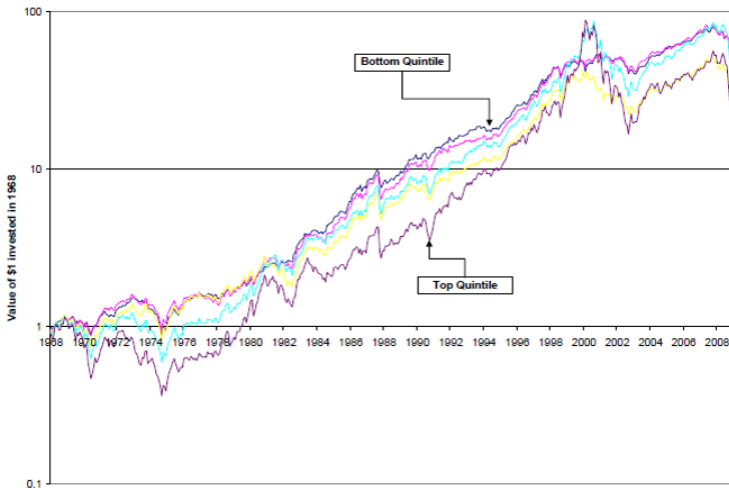
What's "new"? The low-risk anomaly

All stocks:



What's “new” ? The low-risk anomaly (con't)

Top 1000 stocks by MktCap



Wurgler, Jeffrey, Brendan Bradley, and Malcolm Baker.

Quiz

- ▶ A stock is worth \$1 at the beginning of the year. At the end of the year and after a reverse stock split of 1:10 and a dividend of \$0.03 (before the split), the stock is worth \$11. What is the return on the investment?
- ▶ The value of a stock is halved over six month (without stock split and dividends).
 - ▶ What is the return on the investment over the six months?
 - ▶ What is the annualized return?
- ▶ The value of a stock loses 20% and then gains 20% (without stock split and dividends).
 - ▶ What is the average arithmetic return?
 - ▶ What is the average geometric return?

Quiz

- ▶ Your banker explains to you that stocks always offer a better return than your investment in treasury bills.
 - ▶ Is this true?
 - ▶ Is it a reason to invest in stocks?
- ▶ Can volatility become negative?
- ▶ Is the return on a stock with more risk always higher than the return on a stock with less risk?

Critical thinking

- ▶ A bond is worth \$97 (for a nominal value of \$100) at the beginning of the year. The bond pays an annual coupon of 4.5%, and is worth \$102 at the end of the year. What is the return on the investment?
- ▶ A company's stock price increases by 10% over the year, but the return on equity (ROE) of the company is -30%. Is there a contradiction?